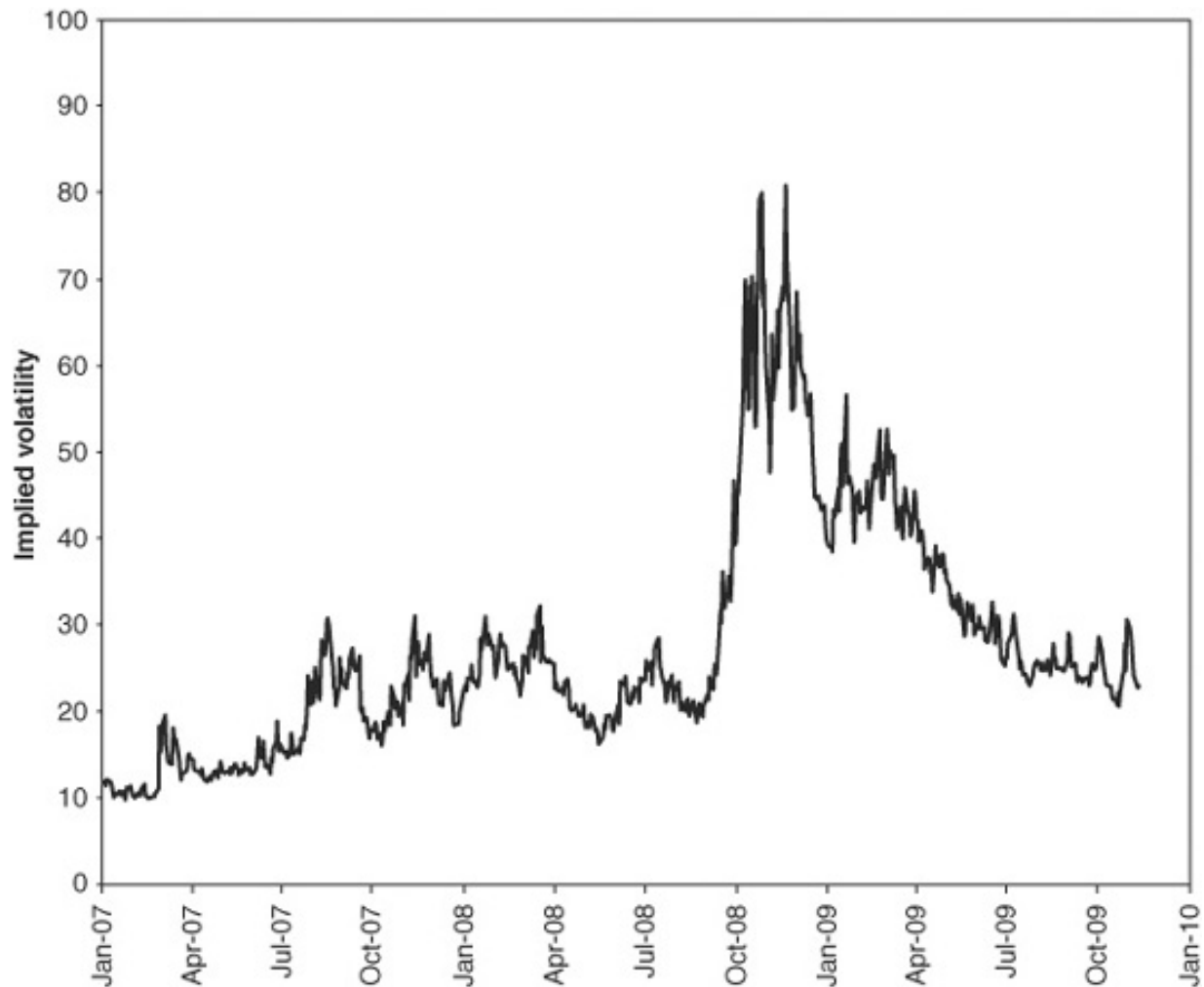




Spikes in price volatility create fear and uncertainty in the financial markets. Typically, a VIX reading above 30 means that investors are fearful. During late 2008 and early 2009, the VIX was consistently over 50 and hit 80 on more than one day.

There are a few days during every bear market when we all wonder how low the market can go. Those are the days when you cannot flip on the television, the radio, or even check your e-mail without in-your-face bad news about stock prices. Those are the days when you can be certain the headlines on the six o'clock news and in the newspapers will highlight the money you are losing, and they will feature abundant numbers of gurus who are forecasting deeper losses.

WHAT TO DO WHEN YOU DON'T KNOW WHAT TO DO